



BUSINESS TRACK • IDEA SUBMISSION ROUND • 3-SLIDE ENTRY

Building Meesho's Consumer-to-Manufacturer (C2M) Base

Scale is the wrong screen. Buy manufacturer supply with impressions, not rupees.

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1 · SEGMENT & BARRIER MAP

2 · PRIORITISATION FRAMEWORK

3 · QUICK-WIN LEVER

₹41,560 cr

FY26 NMV
+39% YoY

₹265

FY26 AOV
down 3% YoY

2.3%

contribution margin
% of NMV

0%

commission, now matched by
Amazon & Flipkart <₹1,000

35%

Meesho share of India
value e-commerce

15-25%

RTO on COD
COD is 75%+ of volume

4.72 cr

Udyam MSMEs
98.9% are micro

COHORT A · Offline-only, B2B bulk

72%
firms

- **Profile** Made to order, distributor-fed, zero returns, 45-60 day terms
- **Barrier** No unit-level ops. Build-to-stock is a balance-sheet change
- **Motivation** Idle capacity; export volatility; concentrated distributor/customer

LEVER Factory Node + confirmed batches

PROVEN Temu fully-managed: 200k merchants in <2 yrs

Never sold B2C. Blocked because Meesho asks them to absorb three brand-new risks on day one: unit-level operations, pre-stocked inventory, and unproven demand. Their B2B model carries none of these, nothing is made until it is already sold.

COHORT B · Online, active elsewhere

19%
firms

- **Profile** On Amazon, Flipkart or own D2C. GST and catalogue already done
- **Barrier** Thinks Meesho's price point sits below its cost line; brand risk
- **Motivation** 264Mn+ users and a Tier-2+ base it cannot reach elsewhere

LEVER Price-delta gate + value-tier catalogue

PROVEN Shein Brazil: \$150 mn, 2,000 local factories

Already listing on Amazon or Flipkart, often through an ops agency. Blocked because that catalogue is built for ₹800+ baskets; the same SKUs lose money at Meesho's ₹265 AOV, so the channel reads as unprofitable rather than unproven.

COHORT C · Churned from Meesho

9%
firms

- **Profile** Onboarded, listed, exited inside two quarters. Catalogue dormant
- **Barrier** Weak first-30 orders, then an RTO shock before settlement landed
- **Motivation** Sunk catalogue cost; returns if the exposure is capped

LEVER Returns firewall + health-score re-entry

PROVEN Temu: 50% of new sellers sell within 20 days

Listed, took few orders in 30 days, left. Meesho added ~4.5 lakh active sellers in FY26 (≈5.1 lakh → 9.61 lakh), so the dormant pool is large - and cheapest to re-open, since KYC, catalogue and price history already exist.

THE RETURN MATH

13 pp

The 13 pp returns gap between a good category and a bad one, against a 12-18% cost edge that integration buys. The wrong category swallows entire manufacturer cost advantage before the buyer ever sees it

HIGH-RETURN CATEGORY

Fitted ethnic wear · Surat

30% return rate

30 returns × ₹90 ÷ 70 delivered

₹39 per delivered item

14.6% of AOV

LOW-RETURN CATEGORY

Home textiles · Panipat

5% return rate

5 returns × ₹90 ÷ 95 delivered

₹5 per delivered item

1.8% of AOV

SEGMENT SCORECARD

CATEGORY · CLUSTER	FLOOR	IDLE	RET.	FRT.
Unstitched saree & dress material · Erode, Bhiwandi	✓	✓	✓	✓
Home textiles: sheets, towels · Panipat, Solapur	✓	✓	✓	—
Hosiery, innerwear, socks · Tiruppur, Ludhiana	✓	—	✓	✓
Moulded plastic housewares · Rajkot, Daman	✓	✓	✓	—
Fashion / imitation jewellery · Rajkot, Coimbatore	✓	✓	—	✓
Steel kitchenware, utensils · Jagadhri, Wazirpur	✓	—	✓	—
Basic footwear, PU/EVA · Agra, Bahadurgarh	✓	✓	—	✓
Brass décor & lighting · Moradabad	✓	✗	✓	—
Bags, school bags · Nangloi, Kolkata	—	✓	—	✓
Ethnic wear · SURAT (largest cluster)	✗	✓	✗	✓
Fitted western, jeans · Gandhi Nagar, Bengaluru	—	✓	✗	✓
Mobile & electronics accessories · import-assembly	✗	✓	—	✓
Surat passes a scale screen and fails all four tests - traders who job out weaving, dyeing and stitching, worst return band.				

Cluster AHP · where to pilot

Cluster	Cost	Dem	Ret	Node	Inst	Score
Tiruppur	5	5	4	4	5	4.68
Panipat	5	4	5	4	4	4.52
Ludhiana	4	3	4	4	4	3.74
Rajkot	4	3	5	3	3	3.70
Surat	2	5	2	5	3	3.28

Surat ranks last despite being India's largest textile cluster by turnover, above ₹1 lakh cr. Scale is the wrong selection signal. Pilot in Tiruppur and Panipat.

Barrier Severity × Cohort

Barrier	A	B	C	Fixable
Unit-level fulfilment	HIGH	LOW	MED	YES
Inventory risk, build-to-stock	HIGH	MED	HIGH	YES
Returns and RTO exposure	HIGH	MED	HIGH	YES
Unproven demand	HIGH	MED	HIGH	YES
Cash cycle, settlement lag	MED	LOW	MED	PART
Channel conflict	HIGH	HIGH	LOW	PART

Four of six barriers are HIGH for every cohort and all four are Meesho's to remove with infrastructure, not money. The one we cannot fix is brand dilution at a ₹265 AOV, which is why Cohort B gets a separate value-tier catalogue rather than a discount.

Where We Start

START HERE

Cohort A, top-5 categories, Tiruppur and Panipat. Its barriers are operational, and operational barriers are the only ones a platform removes with infrastructure instead of money.

NOT NOW

Fashion-led ethnic and electronics accessories, however large the seller. No cost ownership means the price gap has to be funded, and a funded gap is a subsidy with a different name.

Worldwide Precedent · who already removed each barrier, and at what scale

Platform · market	Mechanic	Barrier removed	Scale reached
Temu · global	Fully-managed: factory ships bulk to a consolidation node; platform does listing, pricing, logistics, service	Unit-level ops	200k merchants in <2 yrs; 4 mn parcels/day from 60 nodes
Shein · China	100-200 unit first runs, restock in 5 days, MES pushes orders to the supplier network	Inventory risk	Unsold stock ~10% vs 30% industry; 7,500 suppliers
Shein · Brazil	\$150 mn committed to upgrade local factories to on-demand production	Whole-cohort conversion	2,000 local factories in 3 yrs; 85% local sales target
Pinduoduo · China	New Brand Initiative: anonymised platform demand data handed to factories	Unproven demand	900+ factories, 2,200 SKUs, 115 mn orders; cycle ~50%
JD Jingxi · China	Industrial-belt programme run with local government tie-ups	Acquisition cost	Target 100k factory merchants across 1,000 belts

Addressable Base · bottoms-up

Udyam, Jun 2026

4.72 cr Udyam MSMEs

5.28 lakh above micro

1.85 lakh manufacturing 35%

55,451 Meesho cats 30%

19,408 COI ≥ 3/4 35%

11,645 12 clusters

1,400 active C2M sellers by Yr 4

12% capture · ₹1,995 cr of NMV on a structurally cheaper cost base

Research Design · methods, sources, coverage

Method	n	Output
Manufacturer interviews, 3 cohorts	8 / cohort	Objection set, barrier grid
Cluster walk-throughs	2	Cost Ownership Index
Platform teardown: fees, feed, panel	4 cats	Landed-price medians
Filings, calls, Udyam, cluster studies	15	1120 baseline +
Global C2M teardowns, 5 markets	7	addressable base Mechanic and scale library



Meesho's 0% commission moat is now matched by Amazon and Flipkart under ₹1,000. The only price advantage a rate card cannot copy is a cost-structure advantage, so start with Cohort A in Tiruppur and Panipat, where the barriers are operational and Meesho owns the fix.

SEQUENCE

8
levers scored across acquisition and scale-up

4
scoring inputs
 $R \times I \times C \div E$

0.900
top score · price gate
lowest effort of all eight

₹0
capex in the first 30 days of the sequence

₹22 cr
year-1 programme cost across all eight levers

Yr 3
breakeven · NPV +₹156 cr at a 12% discount rate

3 of 4
Day-90 gate criteria required to scale

R.I.C.E. Prioritisation Across Acquisition and Scale-Up

8 levers · sorted by score

RICE = Reach × Impact × Confidence ÷ Effort Reach = % of the 11,645 addressable base touched · Impact 1-3 · Effort = engineering + ops weeks, 1-10

#	Lever	Stage	R	I	C	E	Score	Cost shape	Yr-1 cost
1	Verified price-delta gate + C2M badge	Acq	100%	●●	90%	—	0.900	Ranking rule	₹0
2	C2M Seller Health Score + auto triggers	Scale	100%	●●	85%	—	0.567	Data product	₹0
3	Cluster co-op onboarding via associations	Acq	90%	●●	85%	—	0.510	Relationship	₹5 cr
4	Cluster Demand Brief (pin-code SKU briefs)	Scale	100%	●●	75%	—	0.375	Data product	₹6 cr
5	Made-to-Meesho demand-confirmed batches	Scale	85%	●●●	70%	—	0.357	Platform feature	in Brief build
6	Valmo Factory Node (assisted operations)	Acq	100%	●●●	80%	—	0.300	Capex + opex	₹8 cr
7	Batch prepayment · cash-cycle compression	Scale	75%	●●	70%	—	0.262	Working capital	float only
8	Cluster returns firewall pool	Acq	70%	●●●	65%	—	0.227	Provisioned pool	₹3 cr

SEQUENCE Diagnostic and free → relationships → data → working capital → platform → capital. Nodes are last, not least: they score low only because effort is 8, not because impact is low.

Impact × Effort

QUICK WINS

Price gate

Health score

BIG BETS

Batch window

Factory Nodes

Cluster co-ops

Demand Brief

Returns pool

Prepayment

FILL-INS

HOLD

IMPACT ↑

EFFORT →

Build top-left before top-right. Everything in HOLD waits for the Day-90 gate

Why These Weights, and What We Reject

Scoring input	How it is set
Reach	Share of the 11,645 addressable manufacturers a lever touches, not share of all 9.6 lakh sellers
Impact	1 = removes friction. 2 = changes the price. 3 = changes the manufacturer's risk model
Confidence	Anchored on whether a comparable platform has already shipped the mechanic at scale
Effort	Combined engineering and operations weeks. 8 means physical infrastructure

EXPLICITLY REJECTED

- Order subsidy or paid boosts. Buys volume, not conviction. Stops the day funding stops.
- Manual account handholding. Works at 20 sellers, breaks at 200, cannot reach 900.
- Onboarding by turnover threshold. That is the signal the brief already says is unreliable.

Dependency · why the order cannot be shuffled

1 · Price gate
who actually has a cost advantage

2 · Health score
whether that advantage holds

3 · Cluster co-ops
how we reach them 40-60 at a time

4 · Demand Brief
what they should make, by pin-code

5 · Prepayment
the cash to run the first batch

6 · Batch window
production against confirmed demand

7 · Node + firewall
only now is capital justified

Global Precedent · every platform that won C2M built the cheap diagnostic layer before the expensive physical one					What the Sequence Buys, Quarter by Quarter			
Platform	Built first (cheap, diagnostic)	Built second (data)	Built last (capital)	Elapsed	Horizon	Levers live	What is true at the end of it	Spend
Pinduoduo	Group-buy price mechanic on existing catalogue	Anonymised demand data to factories	New Brand Initiative co-investment	~2 yrs	Days 0-30	1, 2	A ranked list of manufacturers who genuinely convert cost ownership into shelf price, and a measured NMV lift on the badged cohort	₹0 capex
Shein	Trend scraping and price-point testing	MES pushing orders to supplier network	Supplier parks and prepayment float	~4 yrs	Days 31-60	3, 4	Two cluster associations signed, 60 Cohort-A manufacturers catalogued, demand briefs shipped for 5 categories	₹4 cr
Temu	Reverse-auction bidding on supply price	Algorithmic retail pricing and ranking	60 consolidation warehouses	~2 yrs	Days 61-90	5, 6, 7	First confirmed batches dispatched inside SLA, returns terminating at the node, four gate numbers on the table	₹8 cr
Meesho · proposed	Price Truth Index on existing sellers	Cluster Demand Brief	Valmo Factory Nodes	90 days to gate	Quarter 2+	scale	Five clusters, six nodes, 450 sellers, and a cost per activated seller falling by design rather than by negotiation	₹10 cr

Sequence by what is diagnostic and free before what is capital-heavy. Every platform that has won C2M (Pinduoduo, Shein, Temu, JD) built the cheap price-discovery layer first and the warehouses last. The price gate scores 0.900 and costs nothing, so it goes first.

DAY 0 TO 30

THE LEVER · first 30 days

PRICE TRUTH INDEX

Score every existing large seller's live SKUs against the category landed-price median. Badge and re-rank the ones carrying a real delta, and flag the ones whose scale never became price.

0.900

RICE score highest of eight

₹0

capex, subsidy or new logistics

3 wks

one squad effort score 2

9

screened categories in scope

How It Works · the pipeline, end to end

Landed-price median

Compute a live median per category from delivered orders, not list price

➤

Seller SKU delta

Score every seller above ₹5 cr:
(median – seller price) ÷ median, SKU by SKU

➤

Catalogue-level gate

≥ 8% delta on ≥ 60% of live SKUs.
One loss-leader cannot buy the badge

➤

Badge + re-rank

C2M badge and ranking treatment. The feed is already price-sorted

➤

Matched control

Hold back an unbadged cohort at the same price band and category mix

➤

Read the lift

NMV, conversion and delta retention on badged vs control at day 30

WHY THIS LEVER

- It answers the brief's own diagnosis. The case states scale does not reliably become a lower price. This measures the translation directly, on day one.
- It is the gate everything depends on. Nodes, batches and returns pooling are only worth building for manufacturers who convert cost ownership into shelf price.
- The moat it defends is gone otherwise. 0% commission is now matched by Amazon and Flipkart under ₹1,000. Cost structure is the only advantage a rate card cannot copy.
- It is reversible. A ranking rule switches off in an afternoon. A factory node does not.
- Precedent is unanimous. Pinduoduo, Shein, Temu and JD all built price discovery before they built warehouses.

WHAT IT COSTS

- No capex. No nodes, no logistics change, no headcount. One ranking rule and one dashboard.
- No subsidy. Not a rupee of order funding. The badge changes rank, and the feed is already sorted on price.
- Data already held. Category landed-price medians and seller SKU prices both sit on the platform today. This is an analysis, not an integration.
- No promise to sellers. Nothing is committed to any manufacturer before the delta is proven, so nothing has to be walked back.
- No org change. Pricing owns the median engine, growth owns the badge. No new team, no new P&L line.

MECHANISM : five automated steps, no account manager in the loop

1. QUALIFY

➤

2. ALLOCATE

➤

3. DIAGNOSE

➤

4. REMEDY

➤

5. GRADUATE

WHAT IT PROVES BY DAY 30

- A ranked C2M-ready list. The manufacturers already carrying a real advantage, sized and sorted: the acquisition list for days 31 to 90.
- A measured NMV lift. The first honest read on what price rank alone is worth, before any capital is committed.
- The size of the gap. How many large sellers have scale but no price delta. That number scopes everything downstream.
- A live health-score baseline. Delta retention starts being tracked in week one, not after the first node opens.
- A defensible kill criterion. If the delta decays inside 14 days the thesis is wrong, and we learn that for ₹0 rather than ₹22 cr.

Experiment Design

Parameter	Setting
Unit of analysis	Seller catalogue, not SKU
Population	Sellers above ₹5 cr in 9 screened categories
Treatment	C2M badge + ranking treatment
Control	Matched on category, price band, RTO rate
Primary metric	NMV per live SKU, badged vs control
Secondary	Conversion, delta retention at D14 and D30
Duration	28 days, weekly re-score
Guardrail metric	Category NMV, so we measure the category, not the seller

The 4-Week Run Plan

Week 1

Compute landed-price medians, 9 categories

➤

Week 2

Score every seller above ₹5 cr

➤

Week 3

Badge, re-rank, hold the control group

➤

Week 4

Read the lift, publish the list, brief 2 clusters

Owner	Pricing / data science	Growth	Category / cluster
Deliverable	Median engine + delta scorer	Badge, ranking rule, control split	C2M-ready list, association briefs

Decision Rule at Day 30

Read	Then
Badged cohort NMV/SKU beats control by ≥ 12%	Fund clusters and nodes. Move to days 31-90 in full.
Lift is positive but under 12%	Tighten the gate to 10% delta and re-run for 28 days before committing capex.
No lift, or delta decays inside 14 days	Stop. The advantage was a promotion, and no amount of infrastructure fixes that.

Risks in the First 30 Days

Risk	Guardrail
Loss-leader SKU games the gate	Catalogue-level test: ≥ 60% of live SKUs must clear it
Re-rank hurts existing reseller sellers	Badged listings capped at 20% of category impressions
Median is distorted by outliers	Trimmed median on delivered orders, not list price
Quality falls with the price	Quality-reason return rate is a badge revocation trigger

Start where the answer is cheapest to find. Prove which manufacturers actually turn cost ownership into a lower shelf price, with a matched control and a stated kill criterion, before spending a rupee of capital on the ones that do not.